crore. So, the tax base did expand after demonetization. It is, however, interesting that the average income reported of the new tax payers – ₹2.7 lakh – was not far above the tax threshold of ₹2.5 lakh, *so the immediate impact on tax collections was muted*.'

The Economic Survey makes an important distinction between the number of new tax payers and increased tax collections. Clearly, in addition to more tax payers, collecting more taxes is important. So, the next question we must answer is, did demonetization result in higher tax realizations?

There is, of course, a natural growth in taxes collected. As the economy grows, incomes grow and taxes grow. So, what we need to assess is, if demonetization caused a sudden spurt in taxes.

Every quarter, the MoF shares data on actual tax collections. When we compare the data for the period of demonetization to the corresponding period in the previous year, we see an interesting result.

On 9 August 2017, the MoF press release stated, 'The Direct Tax collections up to July, 2017 (for the period April 17–July 17) in the Current FY 2017–18, net of refunds, stands at ₹1.90 lakh crore which is *19.1 per cent higher* than the net collections for the corresponding period of last year.'

This seems like a healthy growth. However, when compared to the previous year the growth in taxes has actually declined! On 9 August 2016, a similar MoF press release stated: 'The figures for direct tax collections up to July, 2016 (for the period April 16 to July 16) show that net revenue collections are at ₹1.59 lakh crore which is *24.01 per cent more* than the net collections for the corresponding period last year.'

What this shows is that before demonetization, the growth in direct tax collections was higher (24.01 per cent) than after it (19.1 per cent). When one thinks about it, this is not surprising – slower economic growth, job losses and lower incomes, led naturally to lower tax collections as well.